Tennessee Financial Profile & Rules

> **Composite COL Index:** 90.4
> **Housing Cost Metric:** 81.2
> **Income Tax Burden:** 0.00% (No Income Tax)

State-Specific Financial Q&A

Q: Does Tennessee levy an individual income tax?

A: No. The Hall Income Tax, which previously taxed interest and dividends, was completely phased out, leaving Tennessee with zero individual income tax.

Q: What are the corporate tax liabilities in Tennessee?

A: Corporations face a 6.5% excise tax on net earnings and a franchise tax of $0.25 per $100 of net worth or tangible property value.

Q: How does Tennessee's sales tax rate compare nationally?

A: The state base sales tax is high at 7.00%, and local options can push the combined aggregate rate up to 9.75%.

Q: What is the property tax valuation factor?

A: Residential properties are assessed at 25% of their appraised market value, protecting homeowners from excessive tax burdens.

Cost of Living (COL) Index Reference

Metric Point	Value vs. National Baseline (100.0)
Composite COL Index	90.4
Housing Cost Metric	81.2